

HEADS DOWN TO HEADS UP

Weekly Intelligence Brief

Happenings in AI last week, and what they mean for your business.

ISSUE

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PREPARED FOR

M&T Bank

Regional bank (~\$200B assets), northeast/mid-Atlantic

WEEK OF

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ANNOUNCEMENTS

WHAT IT MEANS

WHAT IT MEANS FOR: M&T BANK

1 Microsoft Restricts Internal Use of Claude Fable 5 Over a 30-Day Data Retention Rule*Various AI news outlets, 2026-06-11*

Microsoft has quietly limited internal employee access to Anthropic's newly released Claude Fable 5, despite being a major Anthropic backer. The trigger is Anthropic's data retention policy for its Mythos-class systems, which stores prompts and outputs for 30 days by default, and up to two years if flagged for policy violations..

When even Microsoft — Anthropic's own major investor — internally restricts a frontier model purely on data-retention terms, it signals that no regulated institution should deploy a model before auditing its data-handling policies. For a regional bank, any AI vendor that stores prompts and outputs for 30 days — or flags and retains them for two yea

IN PLAIN TERMS

It's like a hospital declining an excellent new transcription service because the contract says the vendor keeps a copy of every dictation for a month, no matter how good the transcripts are.

MICROSOFT RESTRICTS INTERNAL USE OF CLAUDE FABLE 5 OVER A 30-DAY DATA RETENTI...

M&T Bank should add a data-retention audit to every AI vendor evaluation, starting with any model that processes customer PII or internal deliberations. Specifically, ask whether the vendor retains prompts, outputs, or flagged content, and for how long — if the answer is anything beyond 'zero retention,' legal and compliance need to weigh in before

2 Bots Overtake Humans Online as Financial Services Absorbs the Heaviest Attack Load*Various AI news outlets, 2026-03-26 (recirculated June 8)*

The 2026 Imperva Bad Bot Report found that automated bots now make up 53% of all measured web traffic — the second straight year bots have outnumbered humans. Bad bots are about 40%. Financial services absorbed the heaviest load, accounting for 24% of all bot attacks and 46% of account-takeover incidents..

The internet is now majority machine, and financial services is absorbing the heaviest share of automated attacks. For a regional bank, fraud and account-takeover defenses tuned for human-speed credential stuffing are now facing adversaries that learn and adapt in real time. Distinguishing a legitimate customer using an AI assistant from a maliciou

IN PLAIN TERMS

Like discovering that more than half the cars on the highway no longer have drivers, and a large share of them are specifically cruising your street looking for an unlocked garage.

BOTS OVERTAKE HUMANS ONLINE AS FINANCIAL SERVICES ABSORBS THE HEAVIEST ATTACK...

M&T should commission a brief review of its account-takeover detection stack against the Imperva report's bot taxonomy — scrapers, credential stuffers, GenAI-powered fraud bots, and AI-agent impersonators. Specifically, test whether current detection rules can distinguish a human-initiated AI-assisted session from fully automated fraud. The report

3 German Court Holds Google Directly Liable for False AI Overviews*Various AI news outlets, 2026-06-10*

The Regional Court of Munich issued a preliminary injunction finding Google directly liable for false statements produced by its AI Overviews feature. The court treated AI-generated summaries as Google's own independent statements rather than ordinary third-party search results, removing the traditional search engine liability shield..

A court has ruled that when you deploy AI that generates answers to customers, you own those answers — 'the model said it, not us' is not a defense. For a regional bank, this directly affects any AI that generates customer-facing content: loan-eligibility explanations, chatbot responses about account terms, investment guidance summaries, or fraud-a

IN PLAIN TERMS

It is the difference between a library lending you a book it did not write and a newspaper printing its own article: once you author the words, you own the mistakes in them.

GERMAN COURT HOLDS GOOGLE DIRECTLY LIABLE FOR FALSE AI OVERVIEWS

M&T should ensure that any customer-facing AI output is subject to the same review, accuracy, and retention standards as human-generated communications. Start with a quick audit: which customer touchpoints currently use generative AI, and do those outputs go through human-in-the-loop review before the customer sees them? For lower-risk internal use

4 Meta Launches Business Agent for WhatsApp and Messenger to Run End-to-End Customer Conversations*Various AI news outlets, 2026-06-04*

Meta unveiled Meta Business Agent at its Conversations 2026 conference, an AI agent that operates inside WhatsApp and Messenger to handle end-to-end customer conversations — scheduling, pricing, and transactions — without human handoff. Meta reported its AI tools are already handling roughly 10 million business conversations per week..

Meta is turning WhatsApp and Messenger into autonomous commerce surfaces where AI agents handle the full customer conversation. For a regional bank, this is both an opportunity — meeting small-business and retail customers where they already are — and a compliance frontier, because layered authentication, audit trails, and consent capture inside AI

IN PLAIN TERMS

Like when banks first added mobile check deposit — the customer experience was obvious, but the compliance, fraud, and recordkeeping infrastructure had to be built from scratch.

META LAUNCHES BUSINESS AGENT FOR WHATSAPP AND MESSENGER TO RUN END-TO-END CUS...

M&T should evaluate Meta Business Agent as a potential channel for retail and small-business customer service, but only after defining the compliance wrapper. Key questions: how would the bank authenticate a customer inside a WhatsApp conversation, capture consent for AI-driven interactions, and maintain an auditable record that satisfies OCC and C

5 House Bipartisan Draft Would Freeze State AI Laws for Three Years*Various AI news outlets, 2026-06-04*

Representatives Obernolte (R-CA) and Trahan (D-MA) released a 269-page bipartisan discussion draft called the Great American Artificial Intelligence Act. The draft would preempt state laws that specifically regulate the development of AI models, with a three-year sunset, while

Congress is proposing to replace the emerging patchwork of state AI laws with a single federal standard for how AI models are developed, while preserving state authority over AI use. For a regional bank operating across multiple northeastern states — several of which are actively drafting AI legislation — a three-year preemption would simplify comp

IN PLAIN TERMS

Like the the federal preemption setting one national

HOUSE BIPARTISAN DRAFT WOULD FREEZE STATE AI LAWS FOR THREE YEARS

M&T's regulatory team should track this bill closely. The preemption provision, if it survives, would pause state-level AI model-development rules just as several northeast states are drafting their own, giving the bank a more predictable compliance window. However, the bill explicitly preserves state authority over AI 'use and deployment,' so stat

THE WEEK
IN ONE LINE

The compliance and cyber floor for regional banking got more concrete this week as liability rulings, data-retention red lines, and a federal preemption draft converged with financial services absorbing the heaviest bot-driven attack load on record — while Meta shipped autonomous agents for the messaging channels your customers already use.